

AUTHORITY FOR EXPENDITURE (AFE)

AFE No.: AFE-2024-633 Date: March 4, 2024 Type: Drill and Complete

Operator: Cimarron Operating, LLC

Well: Holloway 22-23 #2H

Location: Township 15 South, Range 35 East, N.M.P.M., Section 22: S/2, Lea County, New Mexico

Objective Depth: 10,500 feet (Bakken and Three Forks) Estimated Spud: January 2025

Estimated Costs (USD)

Cost Item	Dry Hole (\$)	Completion (\$)
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Location, roads, pad	250,000	0
Drilling rig & tools	3,200,000	0
Drilling fluids & chemicals	680,000	0
Cementing	420,000	150,000
Logging, testing, supervision	510,000	240,000
Surface & intermediate casing	640,000	0
Production casing & tubing	0	1,250,000
Wellhead & tree	0	180,000
Hydraulic fracturing	0	4,800,000
Facilities & tank battery	0	520,000
Contingency (10%)	570,000	714,000
TOTAL ESTIMATE	6,270,000	7,854,000

Intangible drilling costs (IDC) are generally deductible as incurred; tangible equipment is capitalized and depreciated. This AFE is an estimate; actual costs may vary. Approval authorizes Operator to incur the costs above for the joint account.

APPROVED -- OPERATOR: _____ Working Interest: _____

APPROVED -- NON-OPERATOR: _____ Working Interest: _____